In the early 1950s, funds for the private sector came from internal resource generation (i.e. the reserves of companies), foreign investment, and market sources such as the public, managing agents, and institutional investors like insurance companies and investment trusts. Commercial banks and the government provided limited funding as did specialized agencies like the IFCI set up in 1948, and the SFCs set up since 1951. The Committee recommended enabling commercial banks and other financial institutions to make larger investments in industry through suitable adjustments in the RBI's lending and rediscount practices. It felt commercial banks should not make their medium and long-term advances to industry, conditional upon refinance being available from the RBI. They could provide indirect financial support to industrial concerns and finance corporations by subscribing to their shares and debentures and providing larger advances against such securities.

Commercial banks could also extend assistance to the private sector by forming a consortium under the leadership of the Imperial Bank of India to underwrite and invest in new issues. The Committee also pointed out that the restrictions on the Imperial Bank from investing in the shares and debentures of joint-stock companies, was a relic of the times when it functioned as a banker to the Government of India. It recommended that these restrictions be abolished as they were out of date in the present conditions and that the Act be suitably amended to enable the bank to participate actively in providing long-term finance for industries through such investments.

The Shroff Committee's recommendation favouring the creation of a consortium of banks and insurance companies under the leadership of the Imperial Bank of India to underwrite or invest in new issues of shares and debentures of industrial companies, was based on a suggestion made originally by the ICBEC. The absence of underwriting houses was a handicap since public issues had to be underwritten by brokers whose funding was limited. The Committee suggested that leading banks, investment trusts, and insurance companies create a consortium for underwriting new issues of capital. This would increase the funds raised by private companies and at the same time disperse the risk among a large number of investors. The Committee also sounded a note of caution: legislative measures needed to be introduced to ensure that the funds were